

Productivity Changes Around Childbirth: Evidence from the Mutual Fund Industry

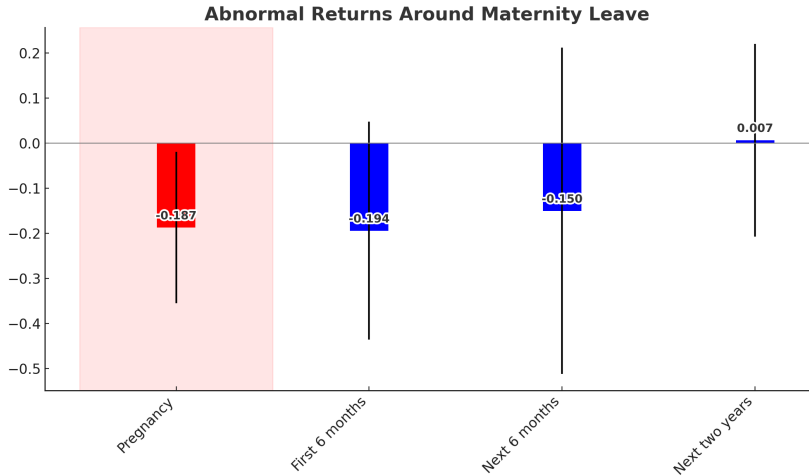
Larissa Ginzinger, Kun Li,
Alexandra Niessen-Ruenzi, Gang Wang

Discussant: Boone Bowles

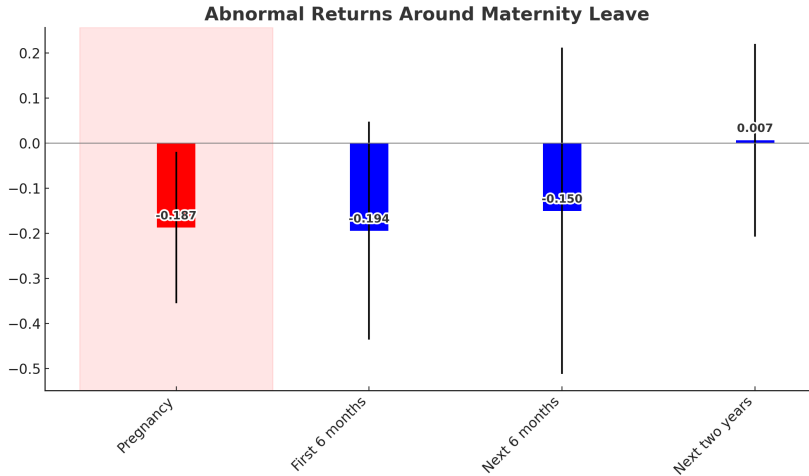
August 25, 2024

AFS 2024

The paper in two slides (1)



The paper in two slides (1)

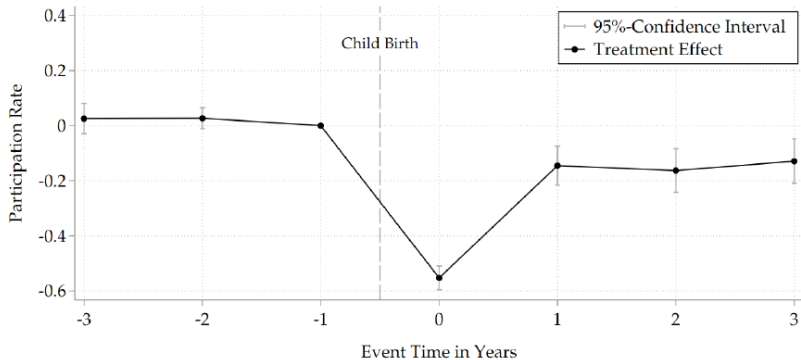


“Funds of managers entering motherhood underperform by 2.3% to 2.8% *per annum*.”

The paper in two slides (2)

Figure 6—Impact of childbirth on Participation Rates

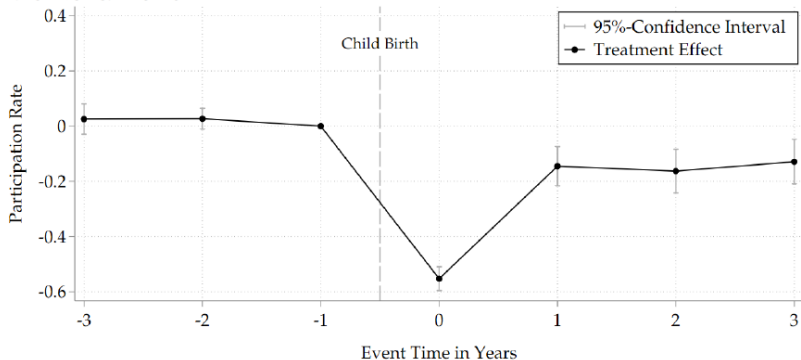
Panel A: 3 Year Horizon



The paper in two slides (2)

Figure 6—Impact of childbirth on Participation Rates

Panel A: 3 Year Horizon



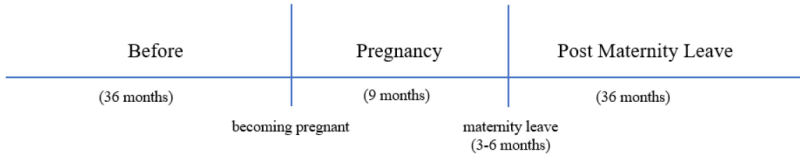
“Persistent decline in participation rate of female managers after childbirth.”

Summary (or the things I like)

- ① Documents evidence of a pregnancy penalty.... lower performance.
 - But it's temporary.
- ② Documents lower participation after maternity leave.
 - Also lower promotion prospects.
- ③ Bigger statements are hinted at... There is a disconnect between the temporary performance and long-term participation and promotion effects.
 - Saying more about this disconnect would really enhance the paper, but it might be pushing the data too hard.

Major Point 1

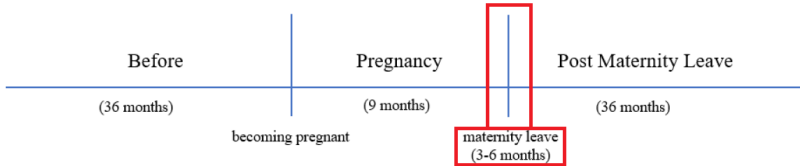
Figure 4—Event Periods around Childbirth



- The paper focuses a lot on Pregnancy and Post-Maternity Leave.

Major Point 1

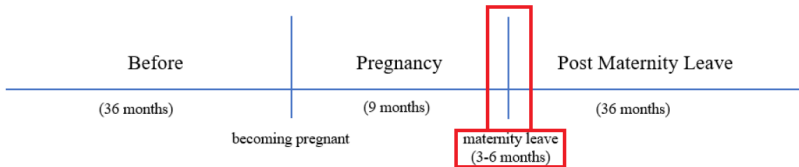
Figure 4—Event Periods around Childbirth



- But doesn't say anything about the Maternity Leave period.

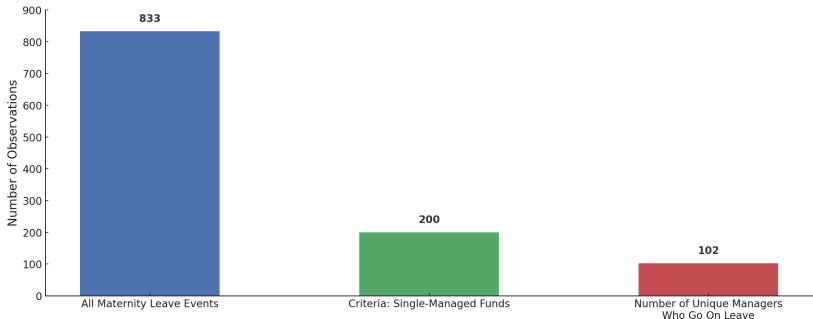
Major Point 1

Figure 4—Event Periods around Childbirth



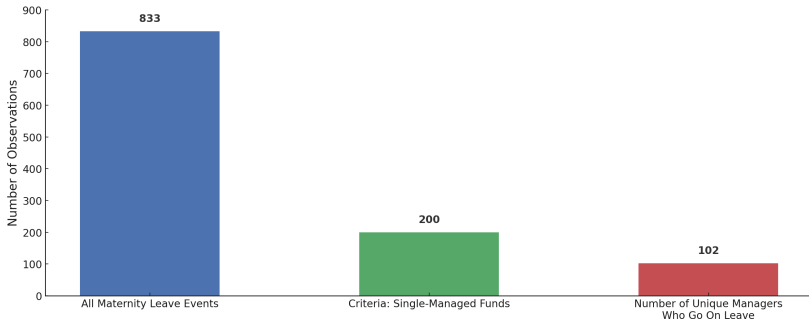
- What happens to the fund while the manager is gone?
- Who runs the fund?
- How does the fund perform?
- How does the manager prepare the fund before going on leave?
 - Table 7 shows risk decreasing during pregnancy... is this some form of preparation?

Major Point 2



- 833 maternity leave events shrinks down to 200 fund-level maternity leaves across only 102 managers who go on leave.
- The drop happens when focusing on managers only in single-managed funds.

Major Point 2



- Is the effect of pregnancy different when a manager is part of a team?
- Do managers get onto team-managed funds before getting pregnant?
- Is there something different about managers who have children while single-managing a fund compared to those that are doing team-managing?

Some Minor Points

- ① The length of maternity leave.
 - It may be related to the underperformance in the period post-leave.
 - It may be related to participation as well.
- ② Consider matching on size.
 - Panel C of Table 1 shows size is similar between the two groups.
- ③ The treated firms almost always performance worse (see Table 4).
 - Though not statistically different, it may be if you aggregate the persistently lower returns.
- ④ The “Busy” manager stuff is cool!
 - Can you push the threshold for “busy” up from the median?
 - How many of these managers are really driving the result?
 - Can you also analyze the participation and promotion of the “busy” managers?
- ⑤ Do fund flows respond to maternity leave? Or the temporary penalty from maternity leave?
- ⑥ Do active share and other measures of portfolio composition change before, during, after leave?

Recap

- Really Cool Data and Paper!
 - Also really important.
- Mutual fund managers experience a *pregnancy penalty*...
- ... but the penalty is temporary.
- Participation and promotion are lower post maternity leave, even though the penalty is temporary.

Recap

- Really Cool Data and Paper!
 - Also really important.
- Mutual fund managers experience a *pregnancy penalty*...
- ... but the penalty is temporary.
- Participation and promotion are lower post maternity leave, even though the penalty is temporary.

Good Luck!